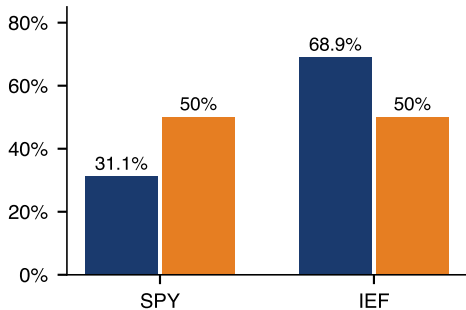
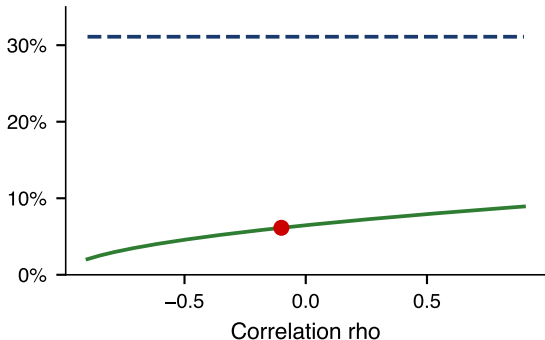


ERC: weights and risk shares



Correlation moves the risk, not the weights



■ Capital weight — ERC volatility
■ Share of variance - - - ERC weight of SPY

● Actual $\rho = -0.10$: vol 6.14%